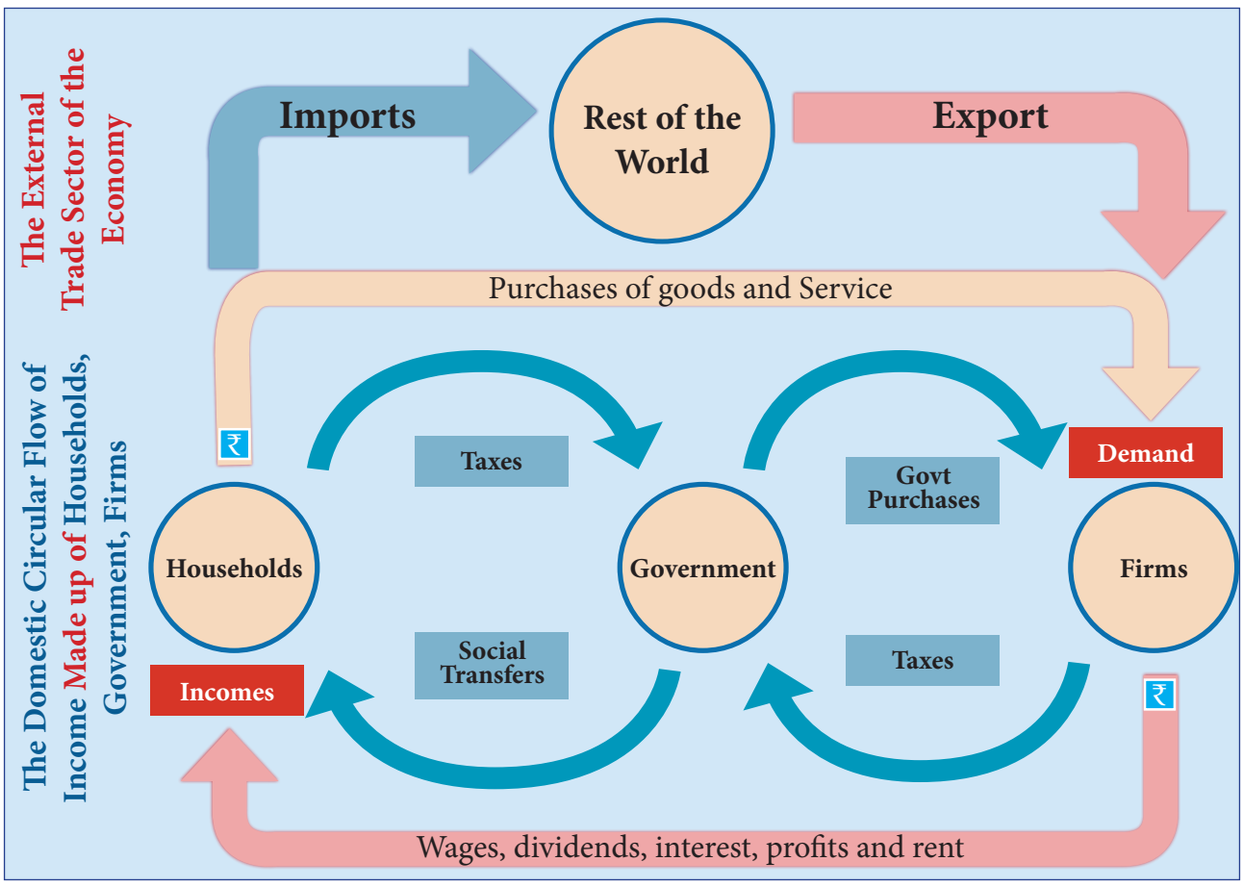
purchases goods and services from firms, and firms receive factors of production from household sector. On the other hand, the government also makes social transfers such as pension, relief, subsidies to the households. Similarly, Government pays the firms for the purchases of goods and services. The Flow Chart illustrates three-sector economy model:

Under three sector model, national income (Y) is obtained by adding Consumption expenditure (C), Investment expenditure (I) and Government expenditure (G).

Therefore:

$$Y = C + I + G$$

1.9.3 Circular Flow of Income in a Four-Sector Economy:



In a Four-sector economy, in addition to household, firms and government, a fourth sector namely, external sector is included. In real life, only four-sector economy exists. This model is composed of four sectors namely,

(i) Households, (ii) Firms,
(iii) Government, (iv) External sector

The external sector comprises exports and imports. It is illustrated in the Flow Chart.

In four-sector economy, expenditure for the entire economy include domestic expenditure (C+I+G) and net exports (X– M). Therefore,

$$Y = C + I + G + (X - M)$$

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